

Is this why BP thought to squeeze the market?

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Subject: Re: mkt thoughts

The most significant aspect of the syncrude production problem is the unique blending qualities of the sweet crude produced by the plant. The synthetic crude produced by this plant has no bottoms. All other crude oils have at least some bottoms, therefore the demand on the replacement blending barrel will be higher than the volume of barrels lost. With the plant production down approximately 3.5 to 4.0 millions barrels, the impact ultimately will be an increase of wti demand during the Oct. 15-nov 15 approaching 130,000 b/d. Given the tightness of light sweet crude oil in padd 2, I believe this is significant. I think it was the main reason for x/z strengthening and the recent strength in z/f may also be attributed to this recent supply disruption. Until there are additional sweet barrels arbed into padd 2 from padd 3, I think we will see strength in the prompt spreads.